Gender, Outside Options, and Labor Supply: Experimental Evidence from the Gig Economy*

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Abstract

We use field experiments conducted at a national ride-share company to study market-level and firm-level labor supply. We find that women are twice as elastic to the market as men. This difference is not explained by observed characteristics, including usual hours worked. We then show that workers with more outside employment opportunities are more elastic to the firm. Firms therefore have an incentive to mark down workers' wages more heavily when workers' outside options are worse. In a setting where men and women have the same outside employer, we find no evidence that women are less elastic to the firm.

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